ICT MENTORSHIP CORE CONTENT

ICT MENTORSHIP CORE CONTENT - MONTH 12 - LONG TERM TOP DOWN ANALYSIS

INTRODUCTION TO LONG-TERM TOP-DOWN ANALYSIS (MONTH 12)

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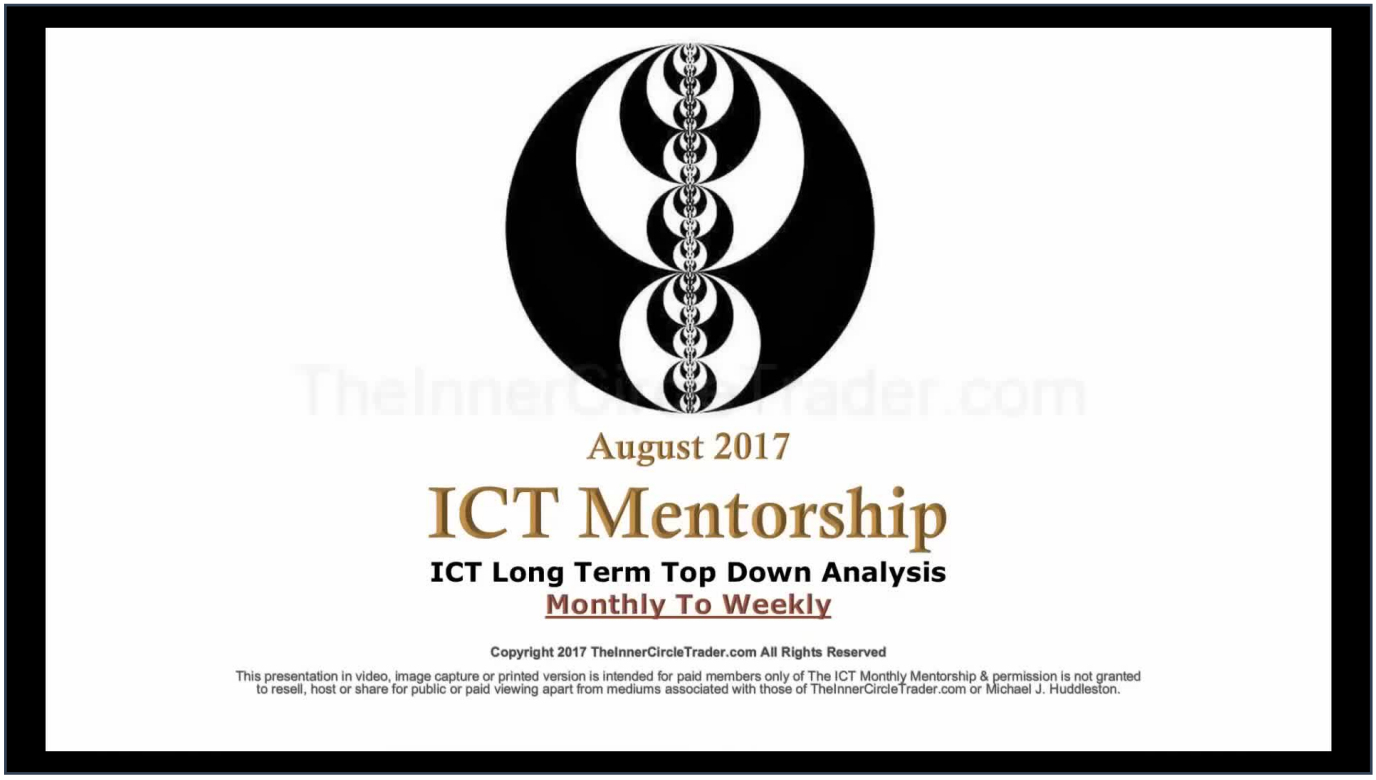
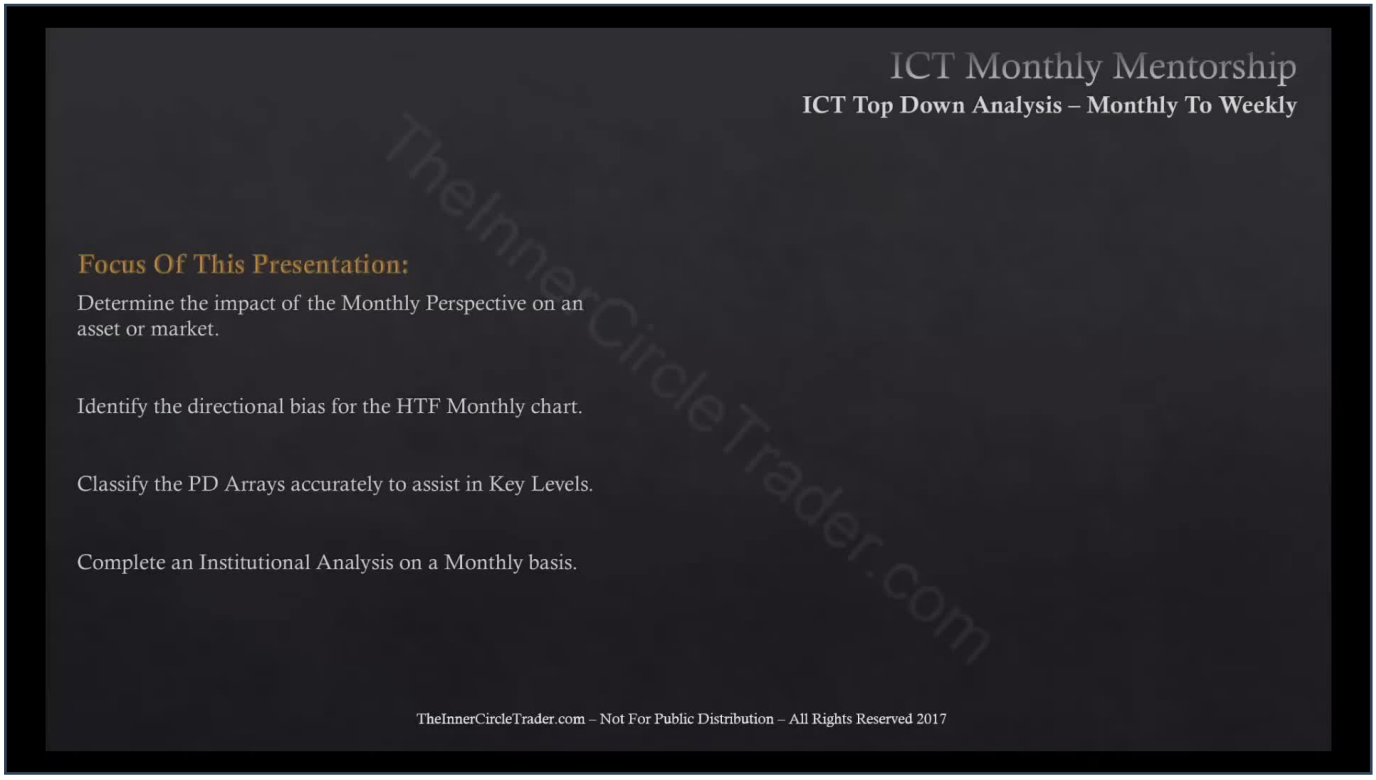


This is Month 12 of the mentorship, focusing on the ICT Long-Term Top-Down Analysis. The teaching will cover how to personally analyze the monthly chart to derive levels and ideas that can be transposed to the weekly chart.

It is important to remember that the provided information over the last 12 months is flexible for personal adoption. While many analysis concepts are strong individually, their best use is in concert with other supporting ideas. The more factors in confluence supporting a specific idea, bias, or analysis perspective, the better the odds of a favorable outcome. Not everything will always align, but a sampling of similar, overlapping, or converging ideas with the same premise generally leads to higher odds.



This approach is a personal method for internalizing market data, performed once a month. Specifically, it's done on the last trading day of every month, as soon as the market closes. This allows for processing and looking at the data to establish a monthly perspective that is then transposed onto the weekly chart. Ideally, if the month ends on a weekend, there's more time for in-depth detail, but often months end midweek, requiring immediate analysis for the next month's trading.

OBJECTIVES OF LONG-TERM TOP-DOWN ANALYSIS

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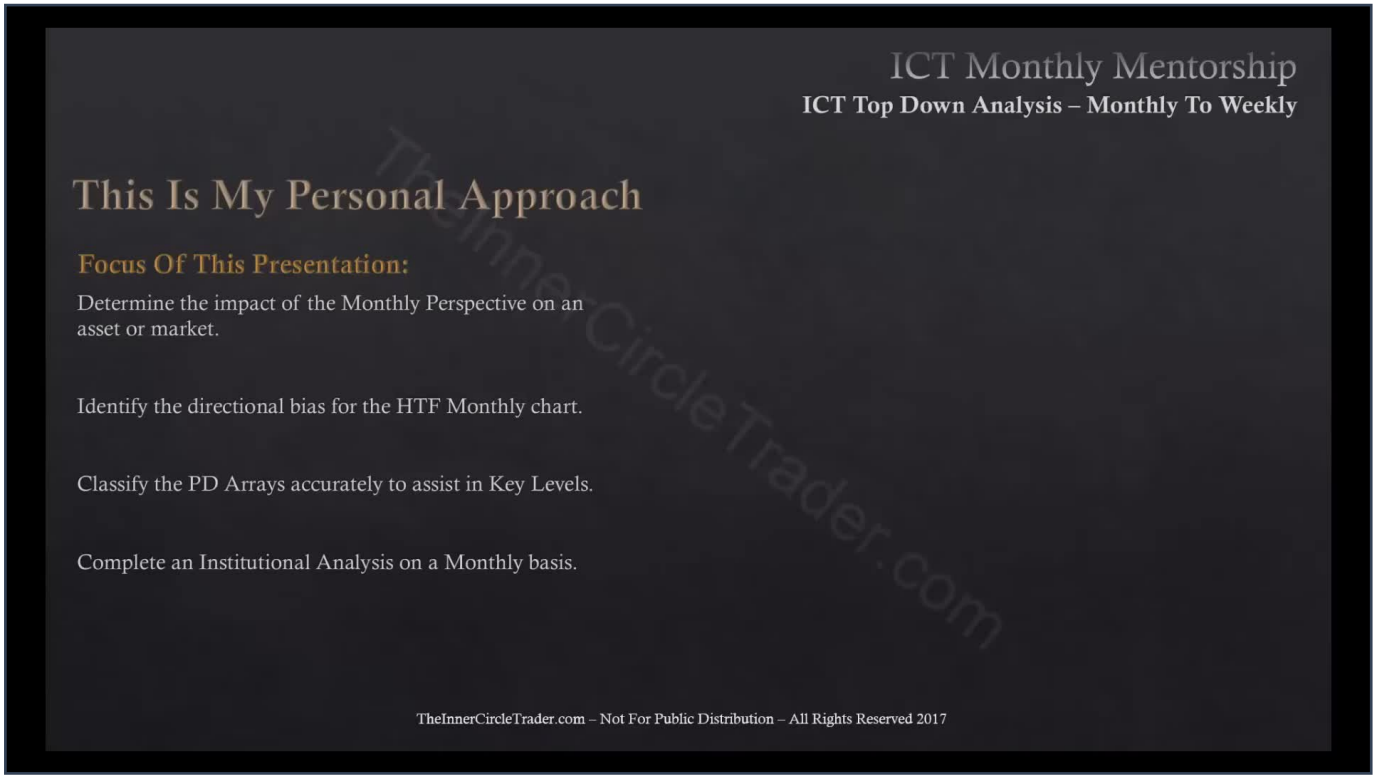

The focus of this presentation is to:

- Determine the impact of the monthly perspective on an asset or market.

- Identify the directional bias for the higher time frame monthly chart.

- Classify PD arrays accurately to assist in key levels.

- Complete an Institutional Analysis on a monthly basis at the end.

STEP 1: SEASONAL TENDENCIES - THE STARTING POINT

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The analysis begins with seasonal tendencies. While not every asset has a seasonal tendency for every month, there are specific times of the year where these patterns are prominent. The PDF resources are vital for understanding these, requiring prior engagement with the content. When sitting down for analysis, one looks at the current month and upcoming months for seasonal tendencies. This concept is broadly applicable across all four asset classes: stocks, bonds, currencies, and commodities.

STEP 2: QUARTERLY SHIFTS - ANTICIPATING MARKET CYCLES

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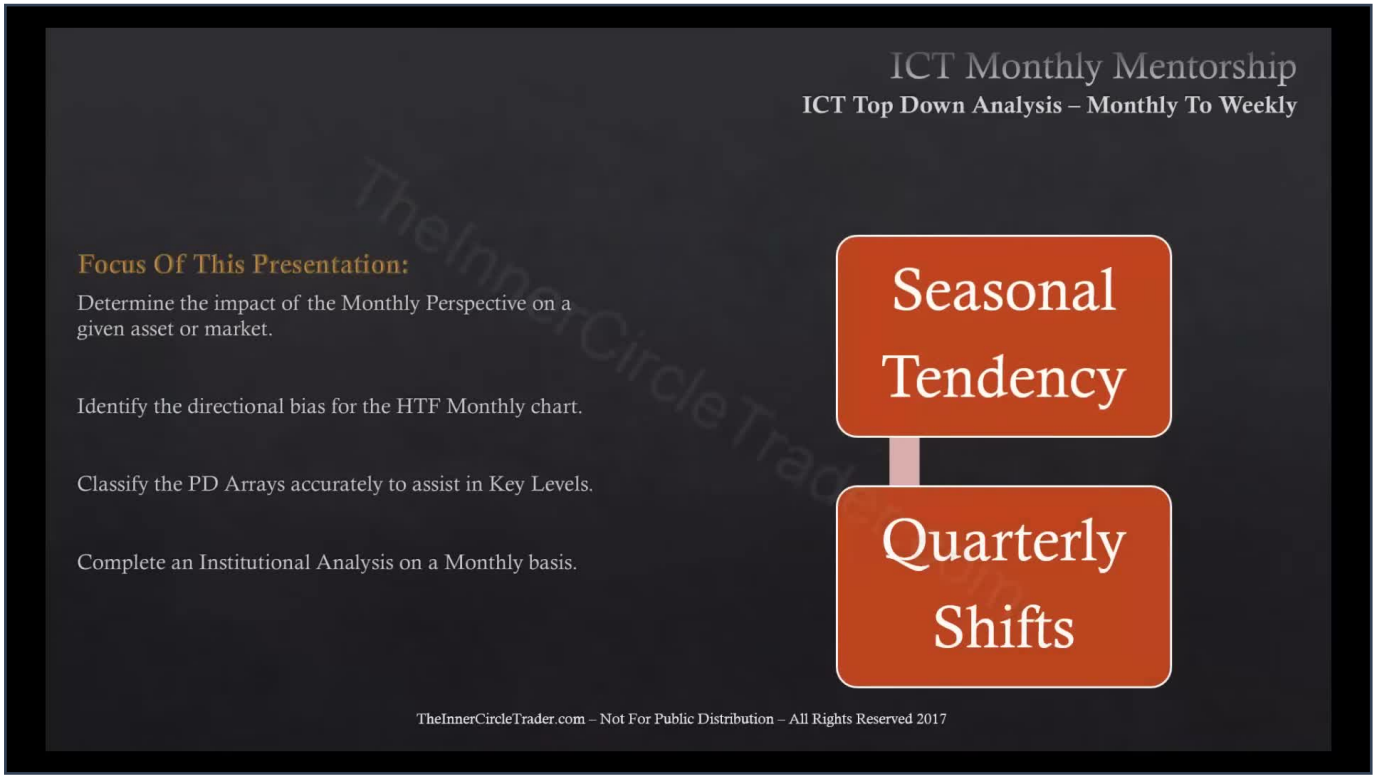

The next step involves referring to quarterly shifts. The market is predisposed to move in new cycles or experience shifts every three to four months. It's crucial to acknowledge that recent market action doesn't always guarantee continuation. The analysis should anticipate either a continuation or a likely reversal in the coming three to four months, reflecting a potential change in sentiment or market structure.

STEP 3: INTEREST RATE DIFFERENTIALS - FUNDAMENTAL DRIVE (TIME THEN PRICE)

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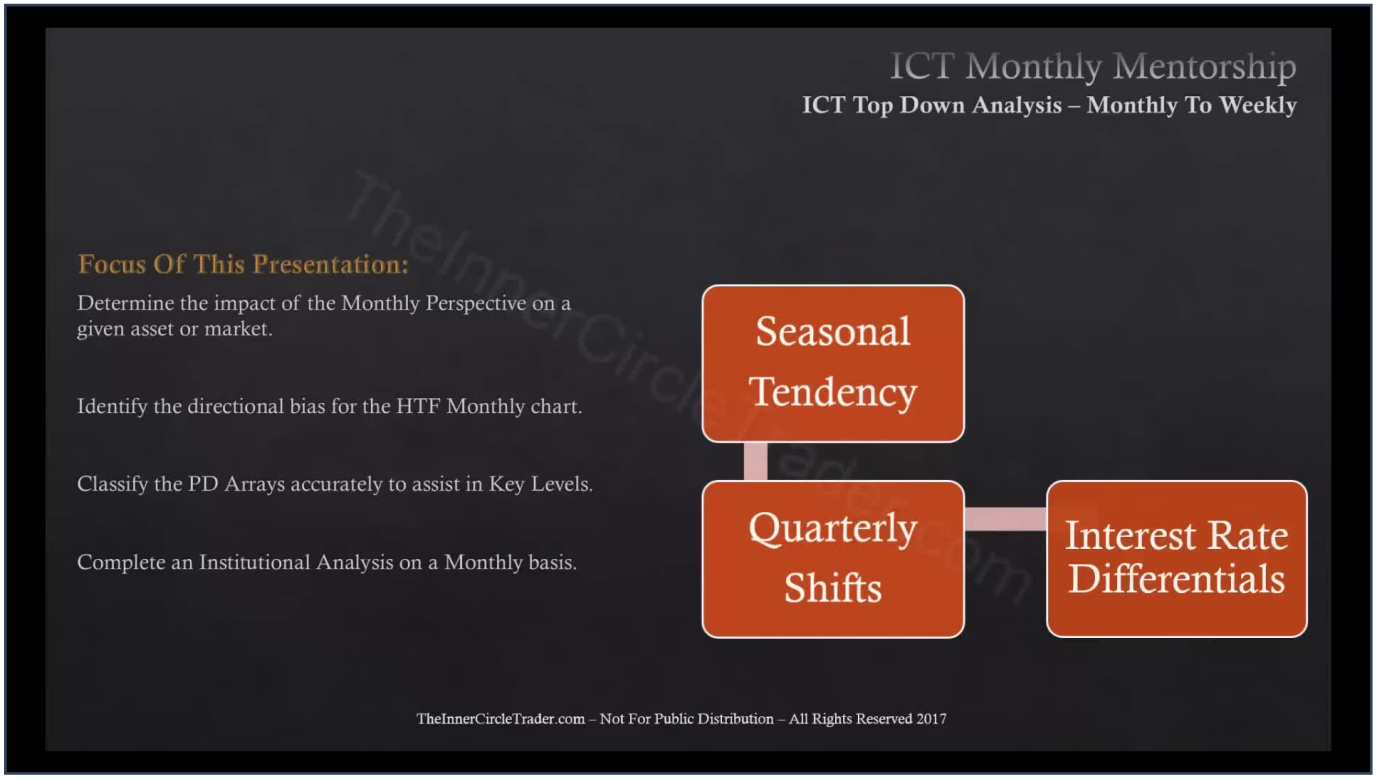
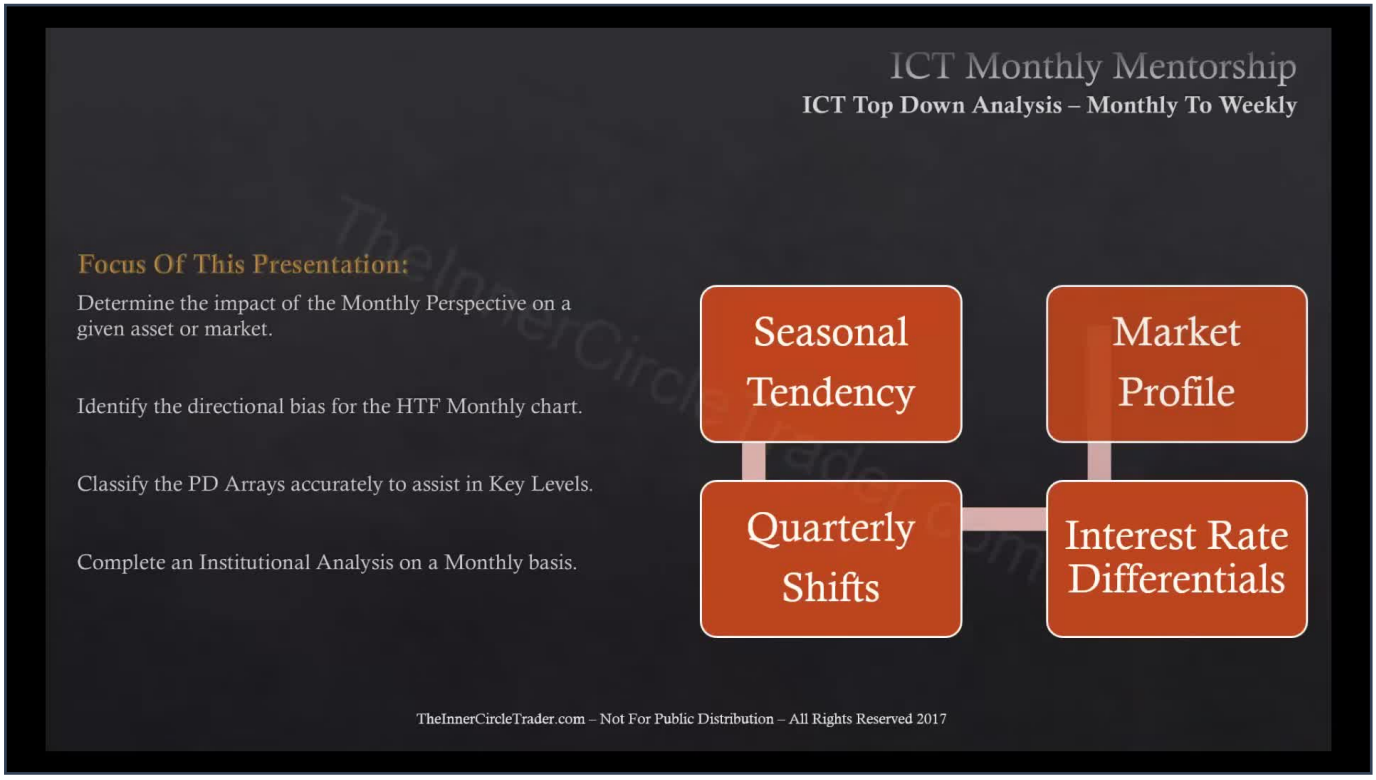


After seasonal tendencies and quarterly shifts, the next step is to examine interest rate differentials, a concept taught earlier in the mentorship. This process involves a time study based on the calendar and quarterly shifts, overlaid with seasonal impacts on price. The ICT approach prioritizes time then price. Interest rates are considered the number one driver across all asset classes.

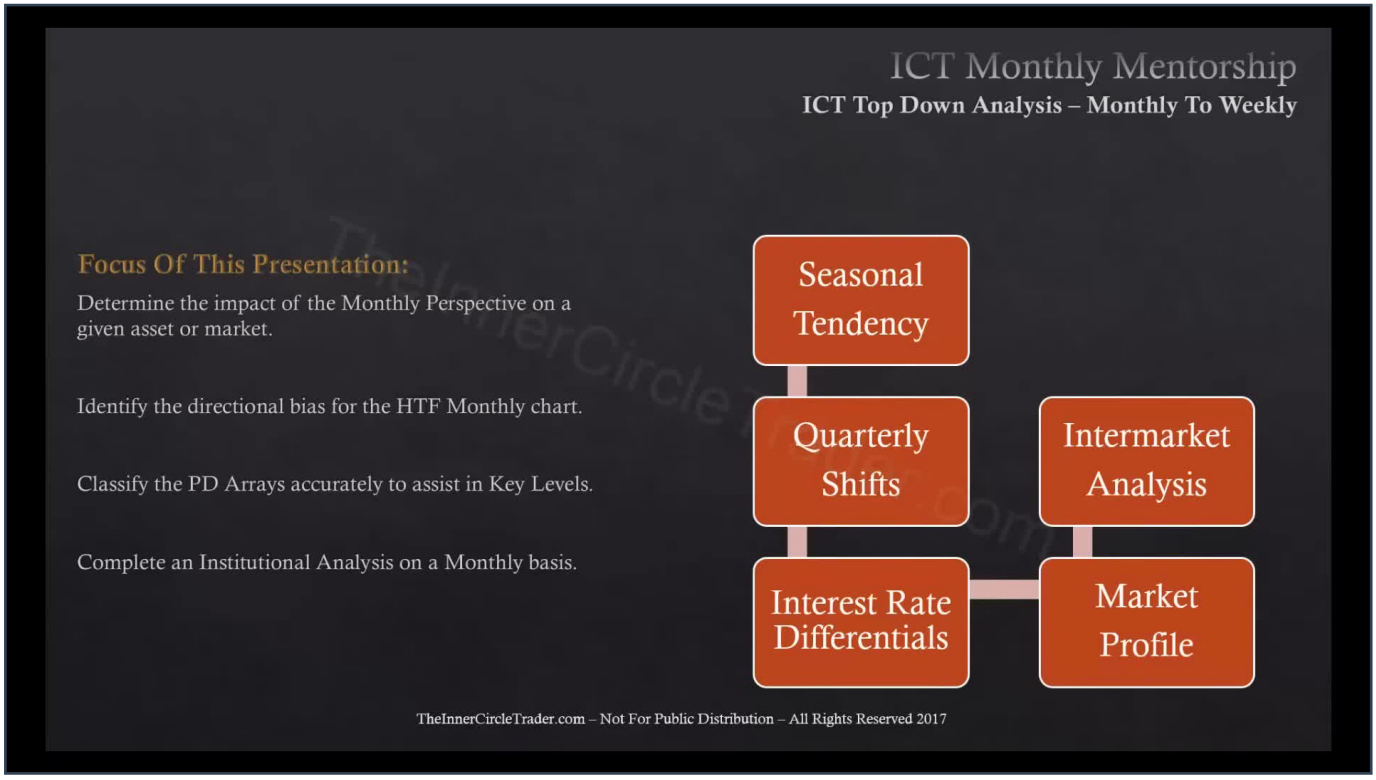
- For currencies: interest rate differentials are key.

- For stocks: observe the bond market. Lower bond prices (higher interest rates) generally hinder bullish stock markets, while rising bond prices (lower interest rates) support them.

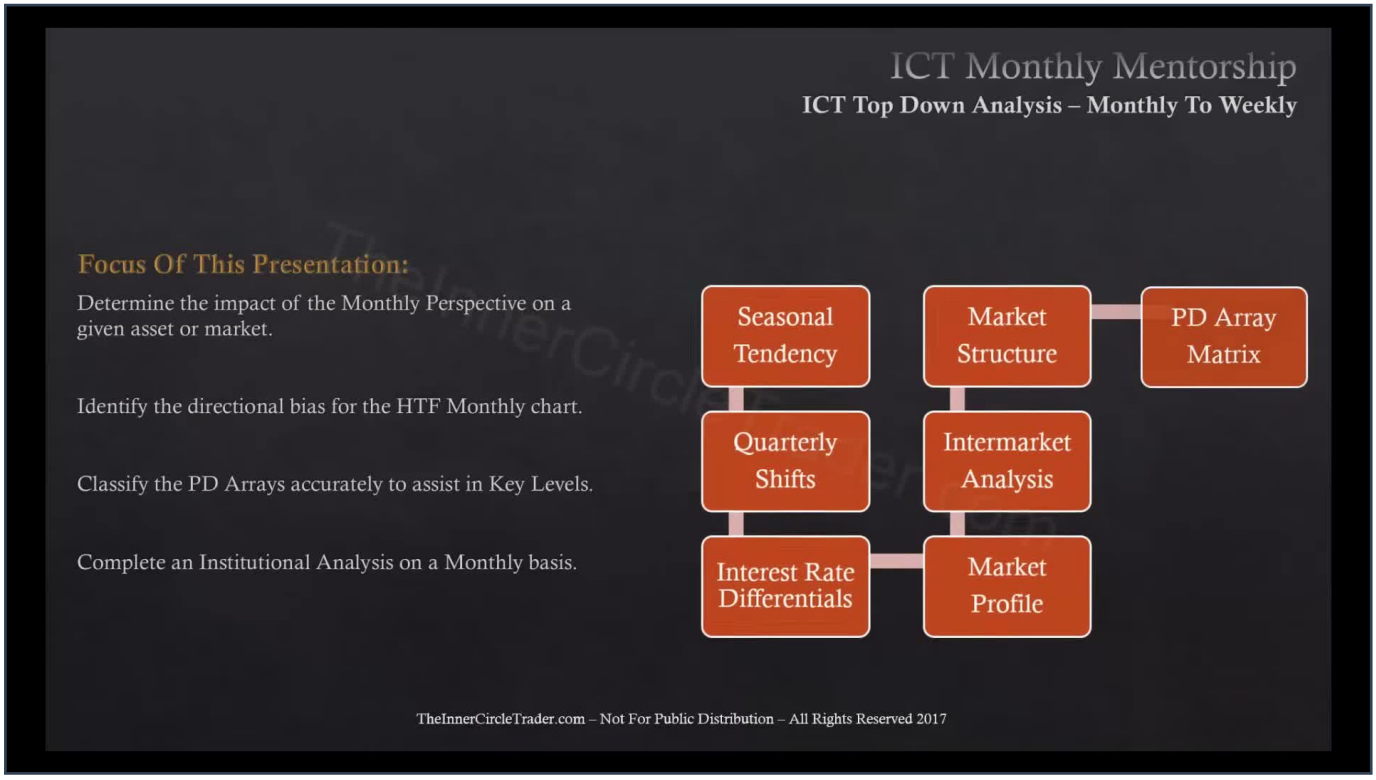
- For commodities: everything is reverse-based on interest rates.



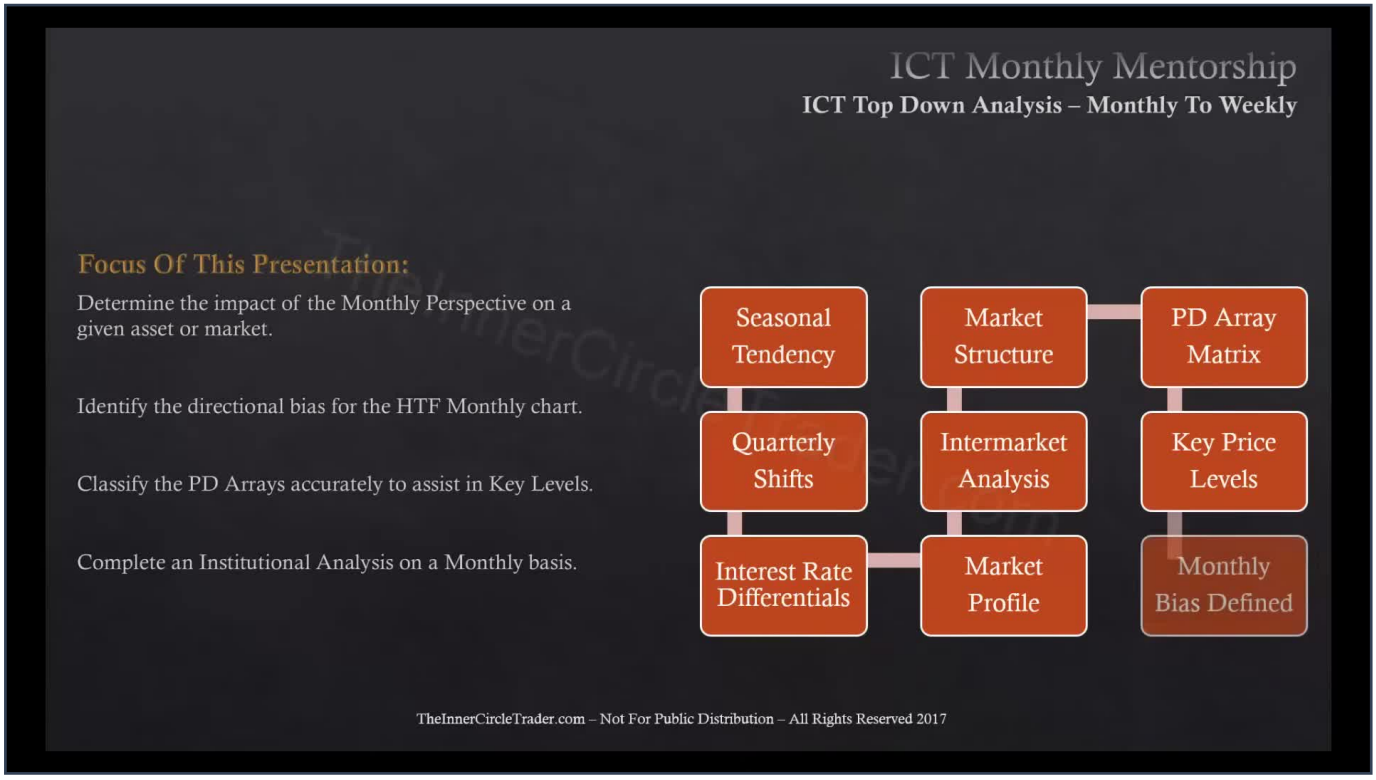
The fourth consideration is the market profile - determining what the market has been doing recently: trending, consolidating, or reversing. This informs expectations for potential price action. Subsequently, other positively and negatively correlated markets are brought in to support or negate the developing trade idea. This combination of time elements (seasonal, quarterly), fundamental drivers (interest rates), market profile, and intermarket correlations forms a robust analytical framework.



Next, the market structure itself is analyzed to identify the current stage of higher highs, lower lows, and the formation of intermediate-term, long-term, or short-term highs and lows. This is also where SMT (Smart Money Tool) studies, such as divergence and correlation ideas, are applied. This step helps in understanding the overall nesting of price action.



The PD Array Matrix is then used to define the market in terms of premium and discount. Using these concepts, specific institutional focus points and reference points from the PD Array Matrix are identified. This calibration process leads to the establishment of key price levels, which serve as the foundation for potential trade ideas, entries, objectives, or targets.



By systematically going through this entire process, a monthly bias is derived, which defines the expectation for the monthly chart, often extending for the next 1-3 months, or potentially four. This extensive process, though detailed, is performed only once a month, typically at the close of the previous month's candle. This singular monthly analysis provides the foundational perspective.

TRANSPOSING MONTHLY BIAS AND CONFIRMING WITH INFLATION/DEFLATION

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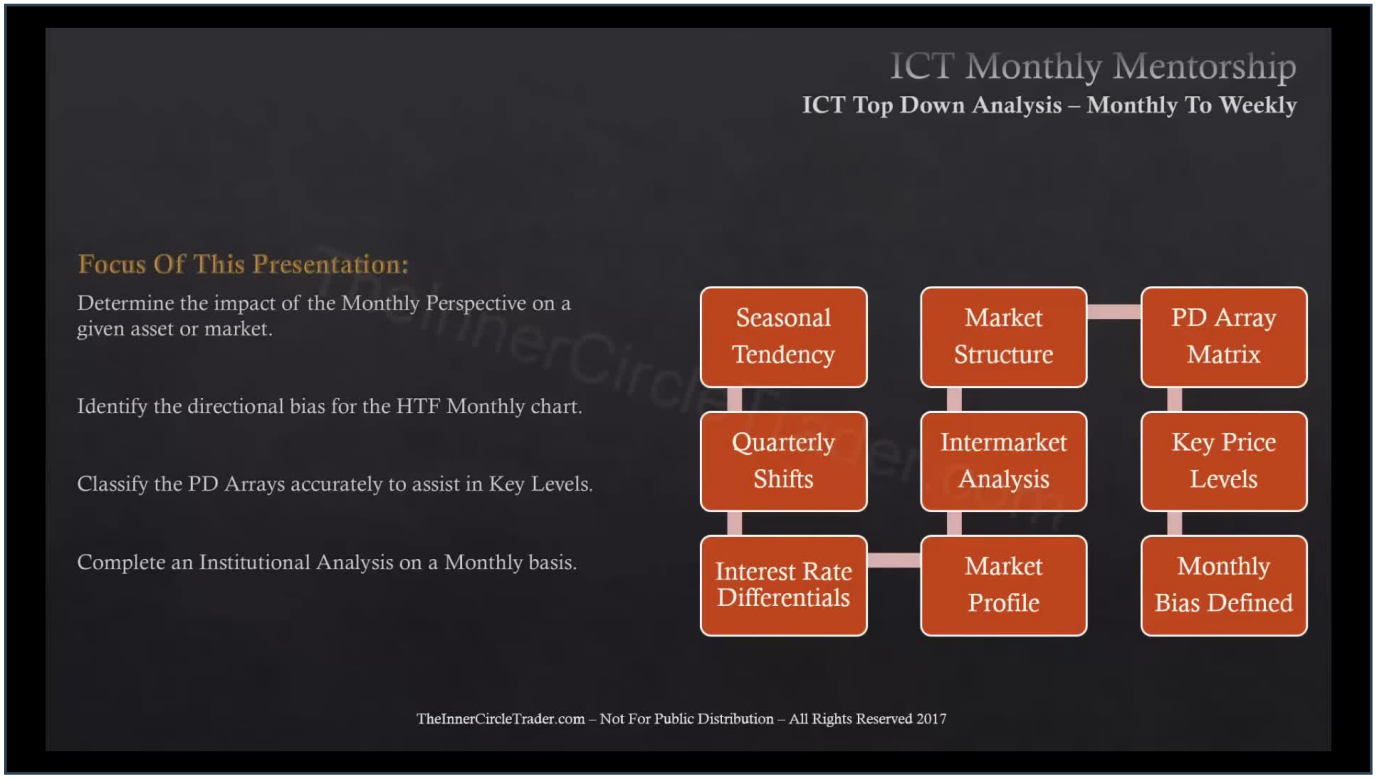
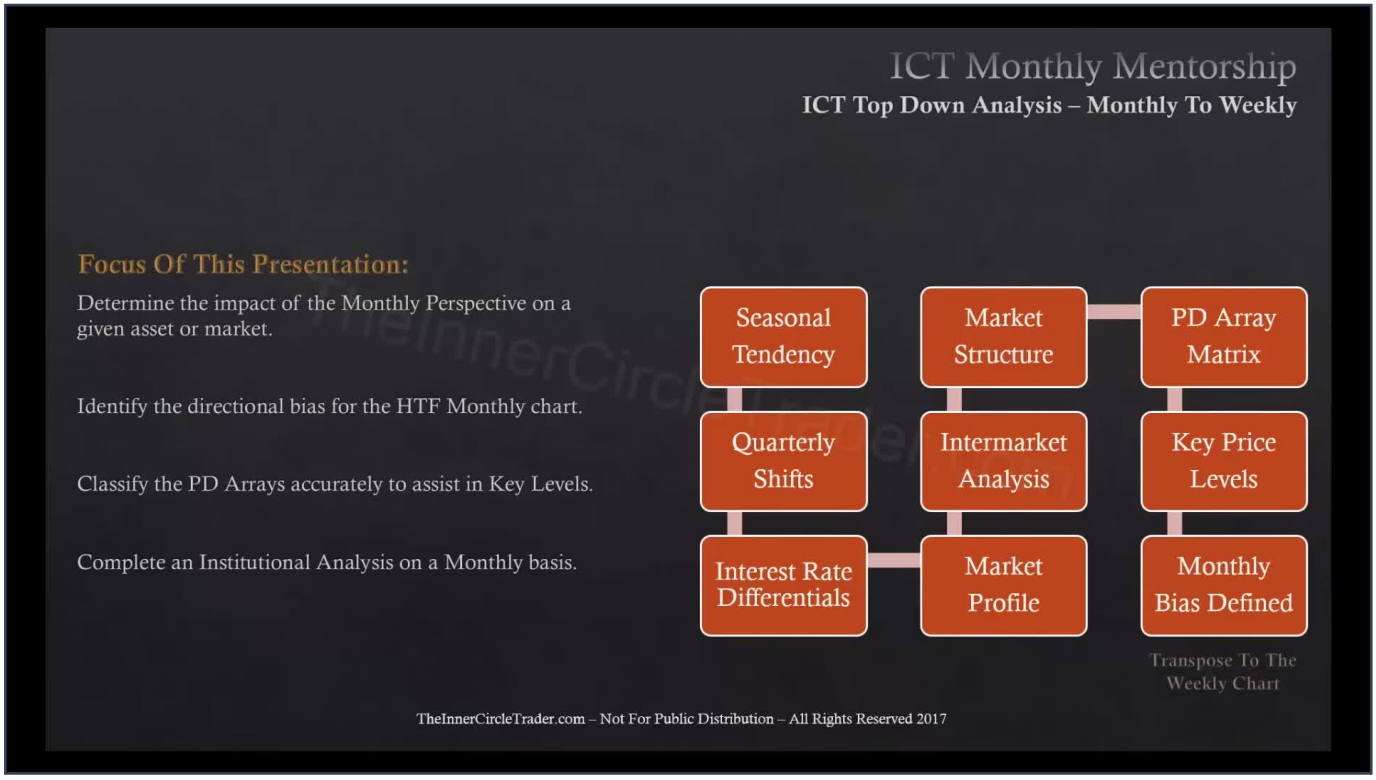
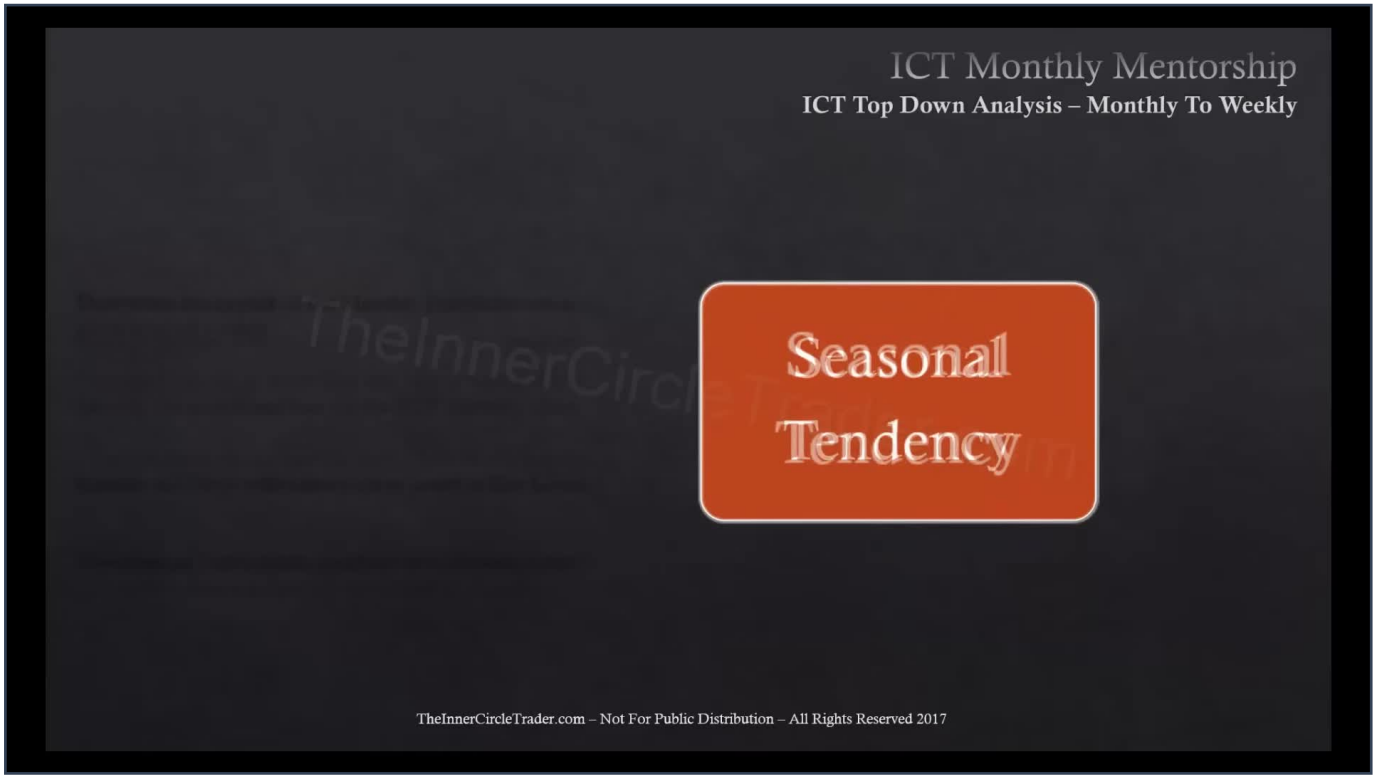


The derived monthly bias and all gleaned information (from stocks, bonds, currencies, or commodities) are then transposed to the weekly chart. This gives an intermediate-term perspective. Additional qualification and confirmation can come from analyzing inflationary or deflationary conditions, which were taught in January's content. A simple way to assess this is by observing commodity prices: generally dropping commodity prices indicate deflation, while rising prices indicate inflation. These conditions have probable outcomes for markets as a whole.



The goal is to forecast three to four months of price action from a long-term perspective. While absolute accuracy isn't guaranteed, being correct on even half of a monthly candle's direction can be enough for monthly profitability. The emphasis is on a structured, step-by-step approach, building layers of information to construct a solid monthly bias. This bias is then carried over to the weekly chart for further application.



The first step is to refer to the calendar month and the specific seasonal tendencies detailed in the mentorship program. This involves identifying historically recurring patterns for different asset classes (e.g., hogs going up, Euro Dollar going down) before the month starts. This helps to align with potential quarterly moves. Focus on markets with a historical repeating nature, as outlined by Steve Moore for commodities and currencies, and specific patterns for bonds and equities (e.g., fall seasonal low for stocks). Seasonal tendencies aid in planning for big movers, using the step-by-step process to justify their potential impact on price.

DETAILED STEP 2: DETERMINING THE NEXT QUARTERLY SHIFT

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The second step involves determining the next quarterly shift or market structure. This refers to the long-term 9 to 18-month trend on the monthly chart. If the trend is bullish, the aim is to justify buying opportunities for the next quarterly shift. If bearish, the focus is on selling opportunities. The goal is to avoid picking exact tops or bottoms of this long-term trend, by observing the actual candles over the 9-18 month period to understand the primary range. If the 9 to 18-month trend is unclear or in consolidation, the personal approach is to anticipate a reversal or retracement of the previous three to four months' direction for the coming month or two.

DETAILED STEP 3: GLOBAL INTEREST RATES FOR CURRENCY PAIRS

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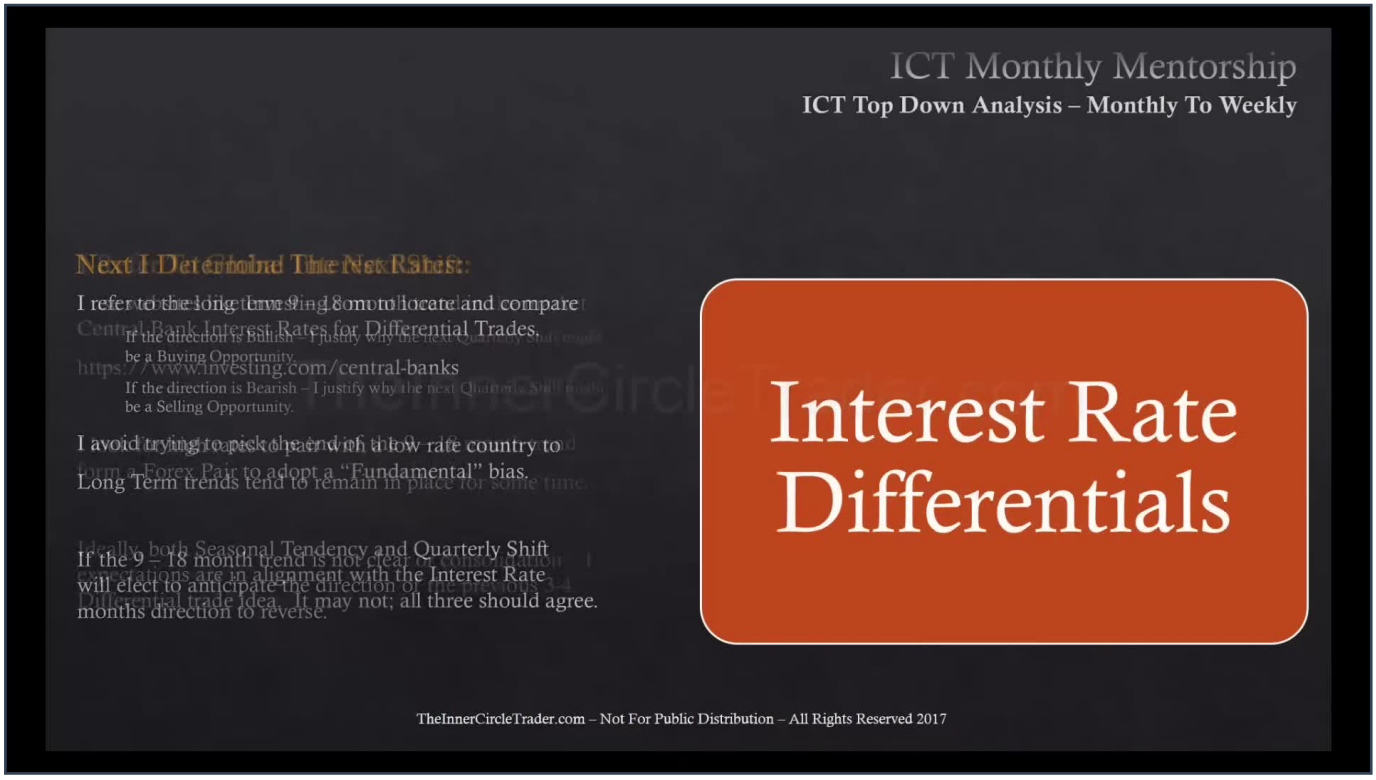

The third step is to refer to global interest rates, using resources like investing.com. This involves locating and comparing central bank interest rates for major countries to identify potential differential trades. The objective is to pair a high-interest-rate country with a low-interest-rate country to form a Forex pair, thereby adopting a fundamental bias. Ideally, seasonal tendencies and quarterly shift expectations should align with these interest rate differential trade ideas, though this isn't always the case, but ideally all three factors should agree.

EXAMPLE: GLOBAL INTEREST RATE DATA TABLE

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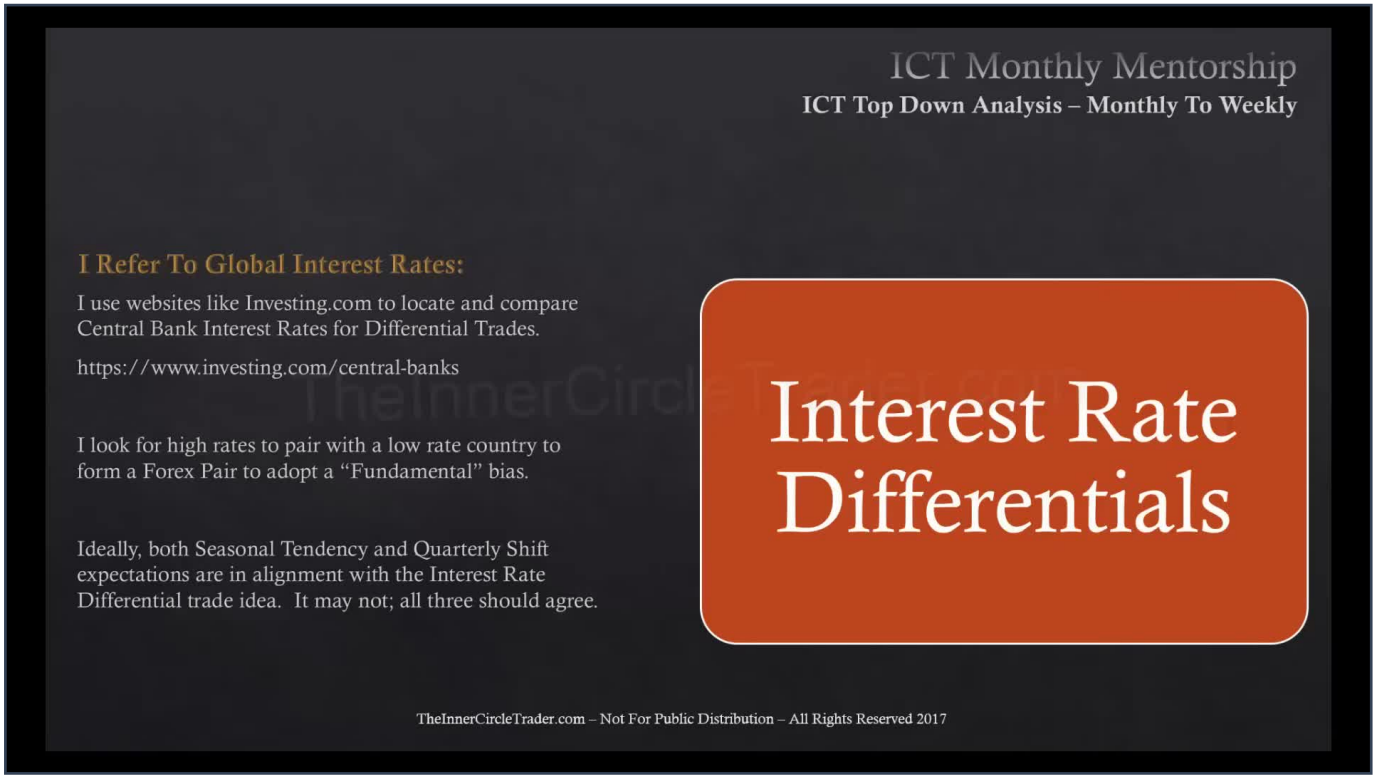
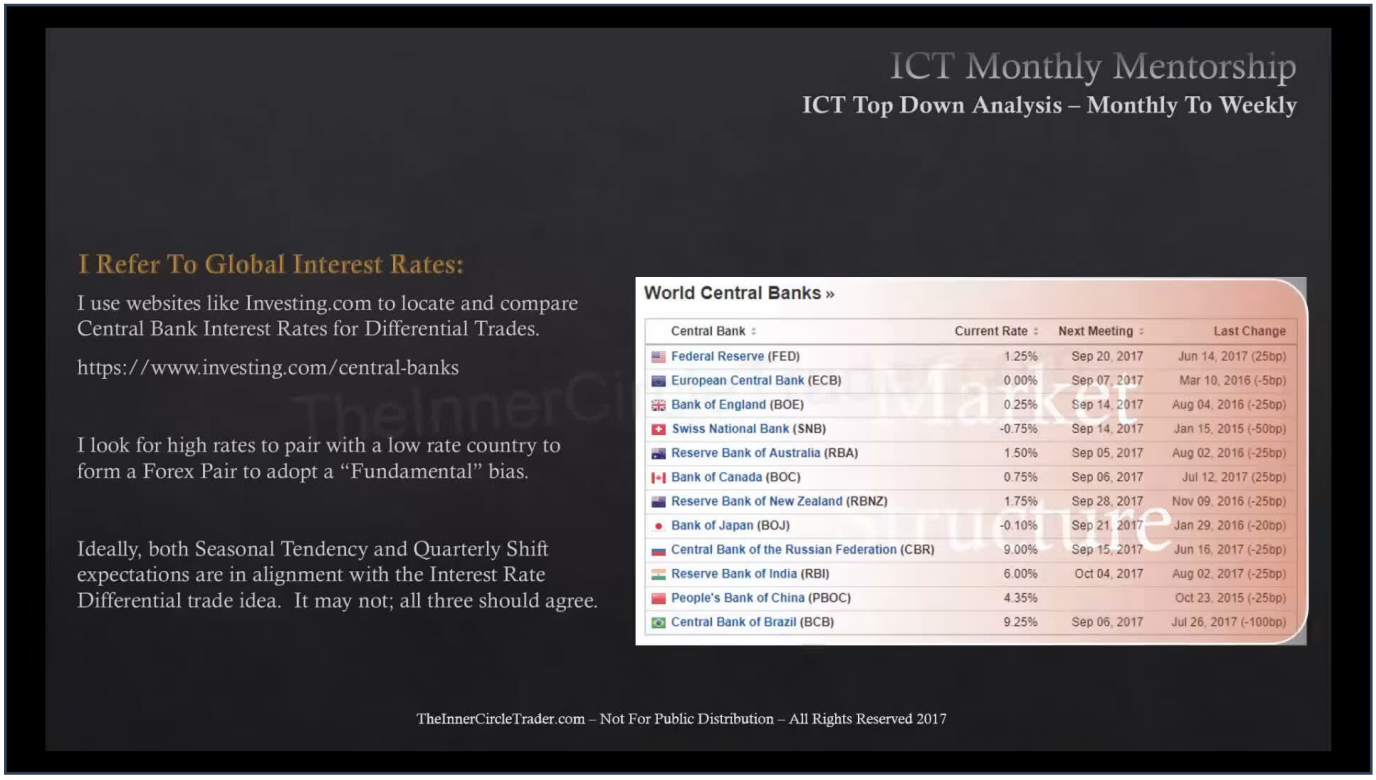


An example of the data found on investing.com's Central Banks page shows current interest rates, last change dates and amounts, and next meeting dates for various central banks (e.g., European Central Bank at 0%, Bank of England at 0.25%, Bank of Canada at 0.75%, Reserve Bank of Australia at 1.5%). The key is to identify high versus low rates to form currency pairs. This information helps in establishing a fundamental bias based on yield attraction.



The fourth step is to define the current market structure by classifying recent highs and lows. These are compared with positively and negatively correlated markets to identify SMT divergences. The relationship of recent highs to previous highs (e.g., higher highs, then a lower high, then an even lower high) indicates if long-term, intermediate-term, or short-term highs are in control. If an intermediate-term or long-term high is implied, the focus shifts to shorting opportunities, ideally in weak currencies paired with strong ones, aligning with quarterly shifts and seasonal tendencies. The reverse applies to market lows, where higher lows suggest potential for further upside, aligning with bullish seasonal tendencies, trending profiles, and higher quarterly shifts. SMT divergence, such as a failed lower low in one currency paired with a higher high in another, further strengthens market structure ideas. Trading in the direction of the clear market structure is favored; counter-trend trades are avoided when multiple factors align.

The fifth step involves seeking confirmation through intermarket analysis. If a bullish market structure is identified and supported by preceding analysis points, intermarket analysis is used to confirm this idea in positively correlated markets and to find opposing signals in negatively correlated markets. For instance, a bullish dollar expectation would be supported by potential sell scenarios in gold due to their typical negative correlation. Conversely, a bearish Euro Dollar outlook would be confirmed by a strong dollar and potentially lower gold prices. However, it's crucial to consider atypical conditions, such as safe-haven demand for gold during geopolitical tensions (e.g., North Korea), which can decouple its correlation with the dollar.

DETAILED STEP 6: IDENTIFYING THE MARKET PROFILE (CONSOLIDATION, TREND, RETRACEMENT)

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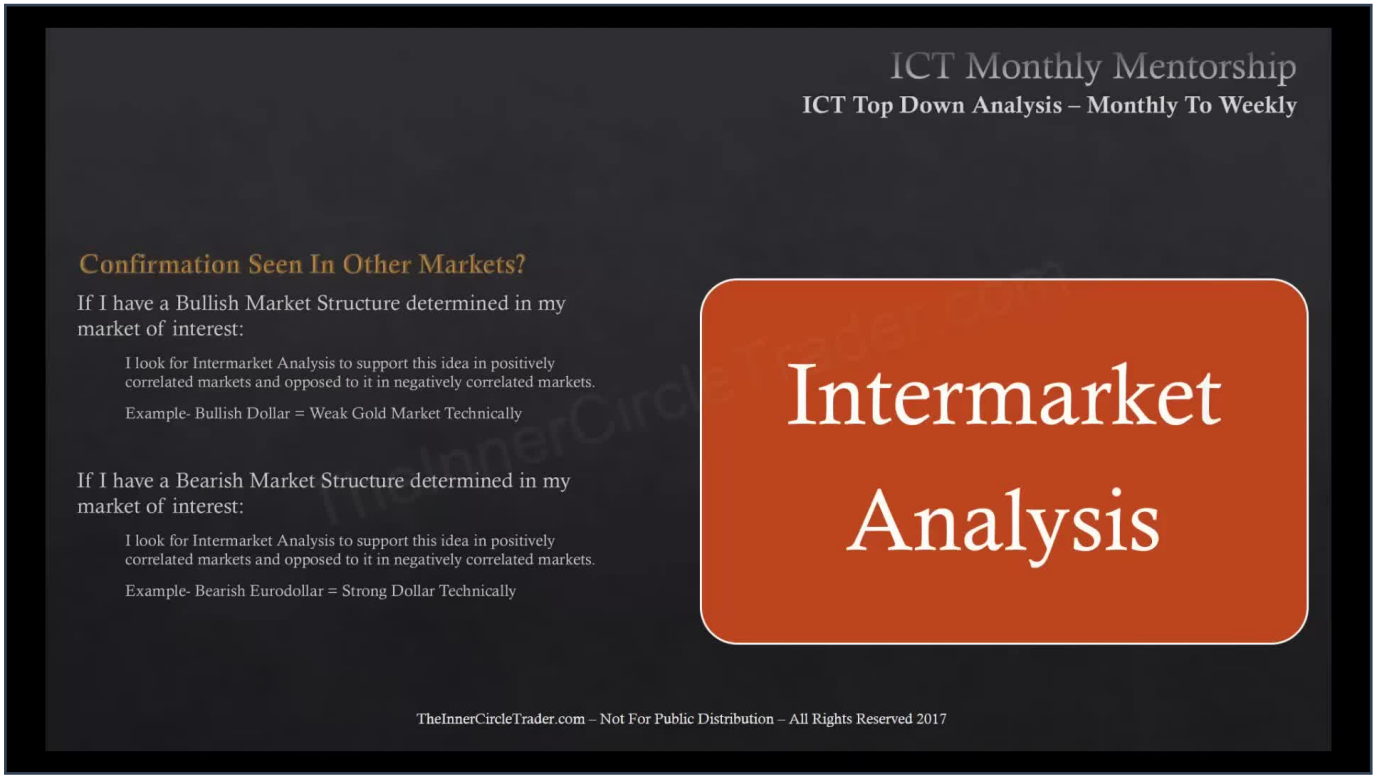

The sixth step is to determine the market profile by asking specific questions:

- Is the market consolidating? If yes, look for expansions and signs prior to a breakout (upside or downside).

- If not consolidating, is the trend reaching an extreme? If yes, retracement is likely.

- Is the market in a trending environment? If yes, look for continuation trades while being aware that trends eventually end.

- If not trending, it reverts to consolidating, prompting a search for signs of a directional breakout, often using intermarket analysis.

- Is the market under a retracement? If yes, anticipate continuation trades post-retracement, using the PD Array Matrix to identify potential reversal levels.

- If not retracing, determine if it's consolidating or trending using the outlined ideas. This thought process acknowledges that traders will make errors, but these questions guide action or waiting for more information.

DETAILED STEP 7: LOCATING INSTITUTIONAL FOCUS POINTS WITH PD ARRAY MATRIX

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The seventh step involves locating institutional focus points within the PD Array Matrix. Once a specific portion of price action, typically within the last nine to eighteen months on the monthly chart, is selected for analysis, it is broken down into premium and discount zones. Not every price range will exhibit every possible premium or discount array; only the obvious ones are noted. The identified PD arrays (order blocks, fair value gaps, rejection blocks, old highs/lows) are then used to build potential trade ideas, referring back to all previous analysis points, including seasonal tendencies, quarterly shifts, interest rate differentials, market profile, and intermarket analysis. This blend of time, price, and fundamental elements helps define specific premium and discount levels for potential buying or selling.

DETAILED STEP 8: CALIBRATING KEY PRICE LEVELS

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The eighth step is to note the key price levels. After determining the relevant market structure for trade ideas, each PD array is rounded to the nearest 10, 0, or 5 level, depending on which is closest to the actual array. For premium arrays (above current market price), rounding is done down to the nearest adjusted number (five or zero level) to capture 'low hanging fruit'. For discount arrays (below current market price), rounding is done up to the nearest zero, ten, or five level, again aiming for the 'low hanging fruit'. This calibration process provides refined, institutionally supported key price levels from a monthly standpoint, aligning with the overall directional bias.

The entire process culminates in a clear directional bias. This involves:

- Referring to the potential of a seasonal tendency.

- Anticipating a specific quarterly shift directionally.

- Pairing strong to weak interest rates (or vice versa).

- Determining the current market profile (consolidating or trending).

- Confirming analysis with correlated pairs or markets via intermarket analysis.

- Selecting a portion of market structure to frame a trade within (internal or external range liquidity).

- Defining the PD Array Matrix to identify premium and discount arrays and arrive at key price levels from the monthly standpoint. All these steps contribute to a robust monthly directional bias, which is then transposed to the weekly chart.

To illustrate the process, let's analyze the Australian Dollar. Seasonal tendencies for AUD suggest:

- A low often forms in the last week of January.

- A stronger low forms in March, leading into May.

- A summer low forms in the June/July period, trading up into August.

- Weakness typically occurs from August down into October. For this example, we'll focus on the expectation of higher prices in June based on seasonal tendencies.

EXAMPLE: AUSTRALIAN DOLLAR - PART 2: MONTHLY CHART AND SEASONAL EXPECTATION

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Hypothetically, at the end of May, looking forward to June, the Australian Dollar monthly chart is examined. The January 2017 candle rallied as per seasonal expectation. March, April, and May saw a decline, which was opposite to the seasonal tendency. However, June is again a time when bullishness is anticipated based on seasonal patterns. This sets up the context for the next steps in the analysis.

EXAMPLE: AUSTRALIAN DOLLAR - PART 3: QUARTERLY SHIFT AND MARKET PROFILE

Considering the quarterly shift, the last three months (March, April, May) showed downward movement. The question then becomes whether this is a continuation of a downtrend or a retracement before a potential reversal, especially given the June seasonal bullishness. Looking back 9 to 18 monthly candles, the market profile for AUD has been in consolidation or a range. The task is to identify clues for an upside or downside breakout from this consolidation.

EXAMPLE: AUSTRALIAN DOLLAR - PART 4: INTEREST RATE DIFFERENTIALS

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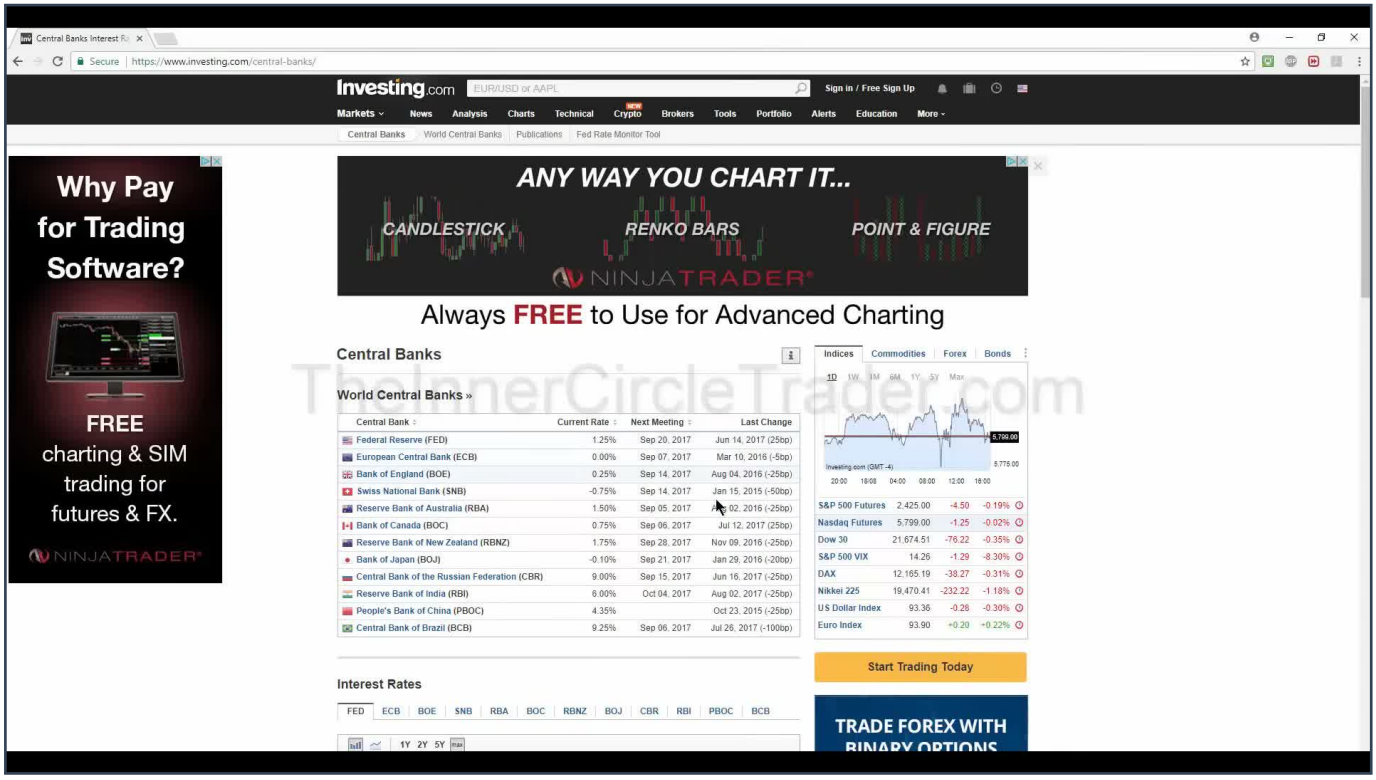
Next, the global interest rate front is checked using investing.com. At the time of analysis (prior to June 14, 2017), the Reserve Bank of Australia's interest rate was 1.5%, while the US Federal Reserve's rate was 1% (later raised to 1.25% on June 14). This means Australia had a higher interest rate than the US. From a fundamental perspective, the yield attraction was better for the Australian Dollar, indicating a bullish bias.

EXAMPLE: AUSTRALIAN DOLLAR - PART 5: INTERMARKET ANALYSIS WITH DOLLAR INDEX (DXY)



Returning to the AUD monthly chart, the 9-18 month market profile confirms consolidation. To find breakout clues, intermarket analysis with the Dollar Index (DXY) is introduced. Prior to May, the DXY had been dropping for several months. Analyzing the DXY's market profile, it had consolidated and then broken out above equal highs, which is often a stop run or failed break, leading to a move back inside the range and potentially below the low end of the range. This implied a continuously lower DXY, which would support a higher AUD.

EXAMPLE: AUSTRALIAN DOLLAR - PART 6: SMT DIVERGENCE AND BULLISH ORDER BLOCK

Comparing the AUD and DXY from December 2015 to December 2016, an SMT divergence is observed: the AUD made a higher low (unwillingness to make a lower low), while the DXY made a higher high (a false break above old highs). This implies accumulation in the AUD. After consolidation and a retracement, the AUD rallied, taking out a down-closed candle, thus forming a bullish order block. The open of this lowest down-closed candle, at 73.80, becomes a key support level. On June's open, price traded down to this exact monthly order block open.

EXAMPLE: AUSTRALIAN DOLLAR - PART 7: PD ARRAY MATRIX AND KEY PRICE LEVELS

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With the current high and low forming a range, the PD Array Matrix is defined. For discount arrays below the market, there is a bullish order block (at 73.80), a rejection block (around 72.16), and the low as a liquidity pool (sell stops). No liquidity void or vacuum gap was present, nor a breaker in this specific price range. The order block open at 73.80 is a precise zero level, requiring no rounding. Price traded into this discount array, which is below the range's equilibrium. For premium arrays above the market, buy stops above the range highs and a rejection block further to the left are noted as potential targets.

EXAMPLE: AUSTRALIAN DOLLAR - PART 8: FINAL MONTHLY BIAS AND APPLICATION

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All factors converge for a bullish monthly bias on the Australian Dollar: June's seasonal tendency for a rally, a quarterly shift (retracement ending), AUD's higher interest rate differential, SMT divergence showing AUD strength, and the market profile suggesting a breakout from consolidation. The price traded down into a monthly bullish order block (discount array) and was expected to target buy stops above the range highs (premium array) and potentially further rejection blocks. This swift analysis leads to an expectation of bullishness for June and July, providing a foundational bias for day traders to only seek long trades during this period. The S&P's upward movement, which often correlates with AUD, would further support this view.